B.E. Even Semester Midterm Examination, 2023-24

Subject: Economics and Accountancy | **Paper Code:** HSM HU 401

Q1. How macroeconomics differ from microeconomics? [5]

Answer: * **Microeconomics:** Studies individual entities (households, firms, specific markets). Focuses on product pricing and resource allocation. (e.g., smartphone pricing). * **Macroeconomics:** Studies the economy as a whole aggregate system. Focuses on national income, general price levels, GDP, and overall employment. (e.g., country's inflation rate).

Q2. Discuss the importance of engineering economics. [5]

Answer: Combines engineering with economic calculations to make business decisions. Important for: Evaluating design alternatives cost-effectively, Cost-Benefit Analysis (justifying capital investments), Resource Optimization, and Life-Cycle Costing (factoring maintenance and salvage value).

Q3. Discuss indifference curve analysis with example. [5]

Answer: An Indifference Curve is a graph showing combinations of two goods that yield the exact same level of satisfaction to a consumer. Properties: Convex to the origin, slopes downward. **Example:** A consumer gets equal satisfaction from 1 Apple + 10 Bananas OR 2 Apples + 6 Bananas. Plotting these combinations yields the indifference curve.

Q4. What do you mean by law of demand? What are the major determinants? [5]

Answer: Law of Demand: Ceteris paribus (all else equal), there is an inverse relationship between price and quantity demanded. **Determinants:** 1. Consumer Income, 2. Price of Related Goods (substitutes/complements), 3. Tastes and Preferences, 4. Expectations of future price changes.

Q5. Discuss 'isoquant' function with a graph. [5]

Answer: An Isoquant shows all combinations of inputs (e.g., Labor and Capital) that produce the exact same quantity of output. It is a downward sloping, convex curve. Moving along the curve shows the marginal rate of technical substitution (replacing capital with labor while keeping output steady at, say, 100 units).

Q6. What do you understand by income elasticity and cross price elasticity? [5]

Answer: 1. **Income Elasticity:** Measures how demand changes when consumer income changes. Normal goods have positive elasticity; inferior goods have negative. 2. **Cross Price Elasticity:** Measures how demand for Good A changes when the price of related Good B changes. Substitutes have positive cross elasticity; complements have negative.